CHESTER HIGH CONVICTION FUND

FSC INVESTMENT MANAGEMENT

QUESTIONNAIRE

Manager Name: **Chester Asset Management**

Questionnaire response date : **December 2025**

Qualitative Liaison

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Quantitative Liaison

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13 Australian Shares –

If you have multiple products of this type where the differences between products are such that your responses would be different for each product, please complete this whole section for each of the products in question.

13.1 State the name of the INVESTMENT person that is responsible for the content of this Section.

Robert Tucker, Portfolio Manager, Chester Asset Management

Contact details:

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13.2 Describe the investment philosophy that underlies this particular product. What evidence do you have to support this philosophy? Please be concise and do not use any marketing embellishment.

Investment Philosophy

Our primary belief is that markets are not perfectly efficient - i.e investor biases' and other market forces often create exploitable disconnects between stock prices and intrinsic values.

Further, we believe that:

1) the inherent *quality* of a stock is a function of the sustainability of its earnings growth, and this in turn is reflected in its ability to generate free cash flow
2) *valuation* support must be evident to ensure an appropriate margin of safety
3) gaining an exploitable *edge* (insight) through research is possible, albeit uncommon
4) global, regional and sector trends drive local opportunities but these opportunities must be proven by bottom-up research that supports a thesis of:
   - Unusually 'predictable' cash flows ('QUALITY'), and / or
   - A strong 'margin of safety' ('VALUATION'), and / or
   - A probable upside earnings surprise ('EDGE')
5) the importance of the above three 'signals' in determining what will drive a given company's share price varies depending on its 'type' (based on the predictability and cyclicality of its free cash flows)
6) in the context of the high allocation to Australian equities within locally constructed portfolios the ASX300 index is too concentrated both by exposure to Financials (inc. Listed Property Trusts), Telco's and Utilities (~45% of the ASX300) and the weight of the top 20 stocks in Australia (~55%). Therefore, greater diversification across sectors and geographies than the ASX300 alone can provide is both prudent (for risk management) and desirable (for return optimisation). We therefore invest:

   a) with little regard to a stock's benchmark weight

b) with little regard to the benchmark's sector weights

c) in non-index positions (up to 10%), which includes pre IPO stocks soon to be listed on the ASX.

7) capital drawdown can be minimised without sacrificing return potential in long only portfolios. This is achievable through:

a) allocating a meaningful portion of the portfolio to a mix of uncorrelated positions, negatively correlated positions and residual cash (with the flexibility to invest materially in all three during extreme negative market conditions). We believe this philosophy is aligned with that of Australian Retail investors – i.e that this investor segment values drawdown minimisation above asset allocation 'purity'(or expressed differently, capital risk management is more important than being fully exposed to the market regardless of market conditions).

b) mitigating company specific risk to some extent by focussing on the three key risks in investing: operating, financial and corporate governance risk.

13.3 Please complete the Australian Shares worksheet in the spreadsheet titled IFSA IMQ Data.xls.

13.4 Briefly describe your investment style (passive/growth/garp/value etc.). Please be concise and do not use any marketing embellishment.

- The Chester High Conviction Fund (CHCF) is a high conviction, active fund with a flexible style bias. Given the fund's emphasis on free cash flow generation, the fund generally exhibits growth attributes. Although we invest with a focus on quality businesses where we have a research edge (insight), valuation support must also be evident to ensure we have an appropriate margin of safety
- This may mean we also exploit more contrarian ideas where we believe the market has mispriced companies by extrapolating a poor near term outlook into the future

13.5 Has your investment style changed in the last five years? If it has, describe all changes and the reasons for these changes. (Note this question relates to style. It should not include reference to changes/enhancements to the investment process per se).

The Chester High Conviction Fund (CHCF) started in April 2017 but is run in exactly the same manner that the SGH Australia Plus Fund was run, which had a 3.5 year track record. The portfolio manager (Robert Tucker) has been managing money on the same basis since 2005, which includes 5 years running the HSBC Australian Country Funds from Hong Kong.

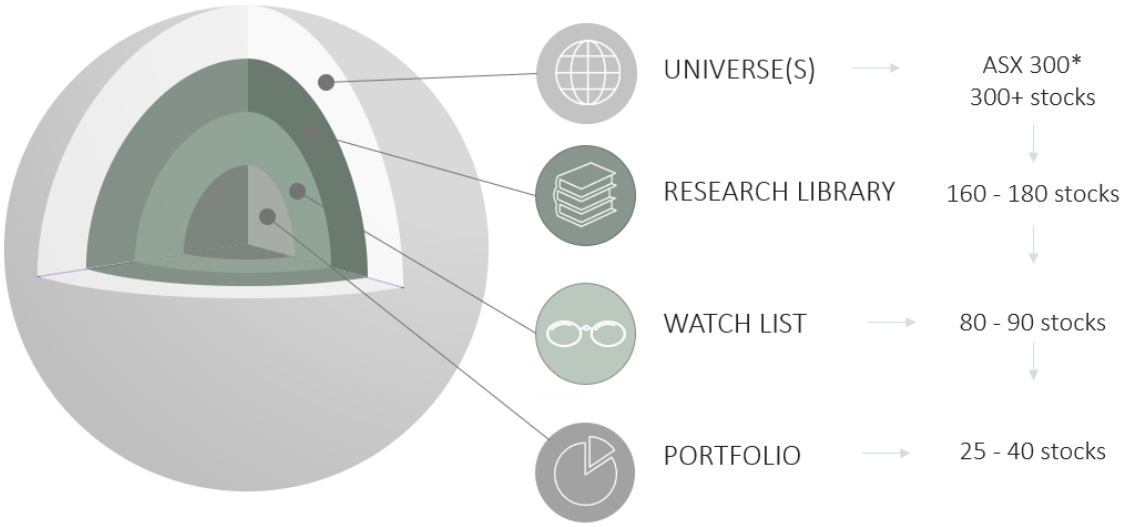
13.6 State the investment objectives for this product; including references to return, risk and time.

- The Chester High Conviction Fund (CHCF) is a high conviction benchmark unaware

fund. The fund aims to outperform the S&P/ASX 300 Accumulation Index by 5% pa over rolling 3 year periods by investing in a concentrated number of equities that are listed or due to be listed on the Australian Stock Exchange.

- CHCF is benchmark unaware in terms of sectors and company weightings
- Tracking error is not targeted, however the ex-post average tracking error is expected to be between 5% and 10% - although at times it may go under or above these levels depending on market circumstances.
- The fund does not have a formal (PDS) risk objective. It does however have informal (internal) risk objectives, being; 1) to minimise capital drawdown, 2) achieve its returns with lower than benchmark risk (volatility), and 3) achieve strong downmarket outperformance

13.7 Use a diagram to help explain your process; including references to the market inefficiencies you aim to exploit and your buy/sell disciplines.

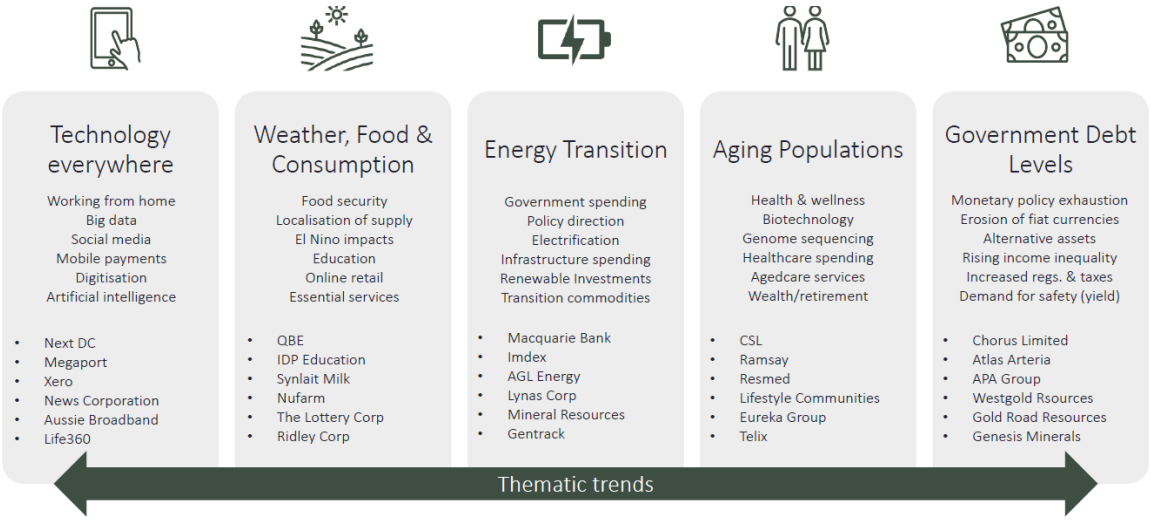


Chester's universe is ASX listed or soon to be listed companies with a focus on the largest 300 by market capitalisation. Up to 10% of the fund can be held in non listed stocks, or pre IPO stocks that will be listed on the ASX in the next 12 months. The fund's non-index position may include previously held CDI's (Chess Depositary Interests) which have changed primary listing to a foreign exchange.

IDEA GENERATION

We believe there are multiple ways to identify opportunities/ideas in this universe however thematic and sector trends will typically drive our core ideas. These are then cross referenced and iteratively examined with company visitations, meetings with industry participants, and screening outcomes.

- *Our thematic trend review*: informs our idea generation (as well as our ongoing assessment of existing portfolio positions)



- *Chester Proprietary Screening (CPS):* We use the CPS to help us identify and / or cross check companies displaying apparent value disconnects or companies operating in attractive end markets with compelling industry positioning, sustainable earnings growth and cash generation with a margin of safety to intrinsic value. We run our proprietary quant screens on a monthly basis to highlight any stock ideas to spend more time on.
- *Chester research library (CRL):* We maintain a library of stocks subject to regular maintenance and review. This is a detailed excel spreadsheet outlining our detailed earnings forecasts for each company and compares these forecasts to consensus, which highlights where we may have a research edge
- *Ongoing company visitations.* We aim to hold over 500 company meetings or conference calls per annum
- *Discussions with industry participants.* This is a key component of generating unique insights into a company and their corporate strategy and future earnings potential.

This idea generation forms a focused watch-list that meets the combination of valuation support with a quality framework for assessing the merits of an investment idea.

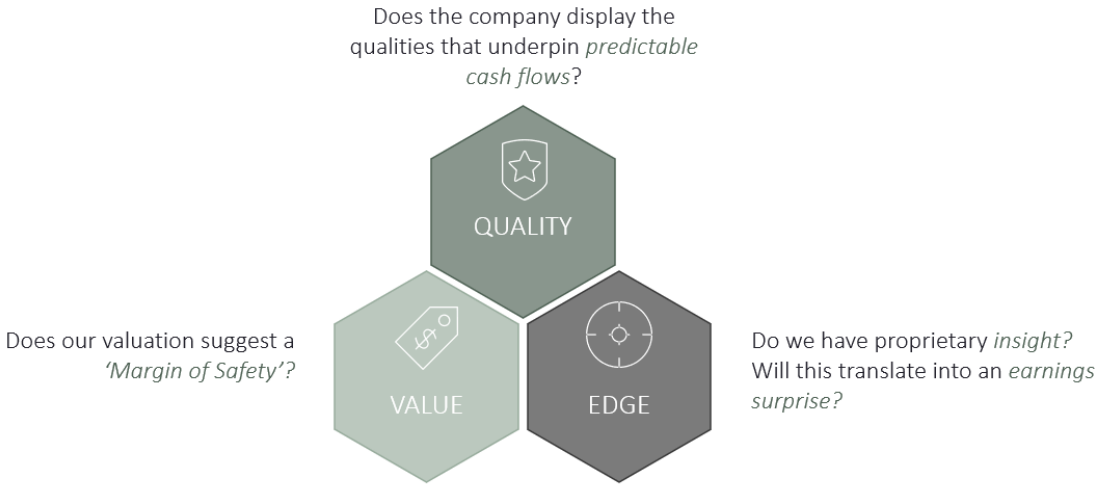
RESEARCH

Our focused watch list undergoes research in line with the processes outlined in 13.10 and 13.12.

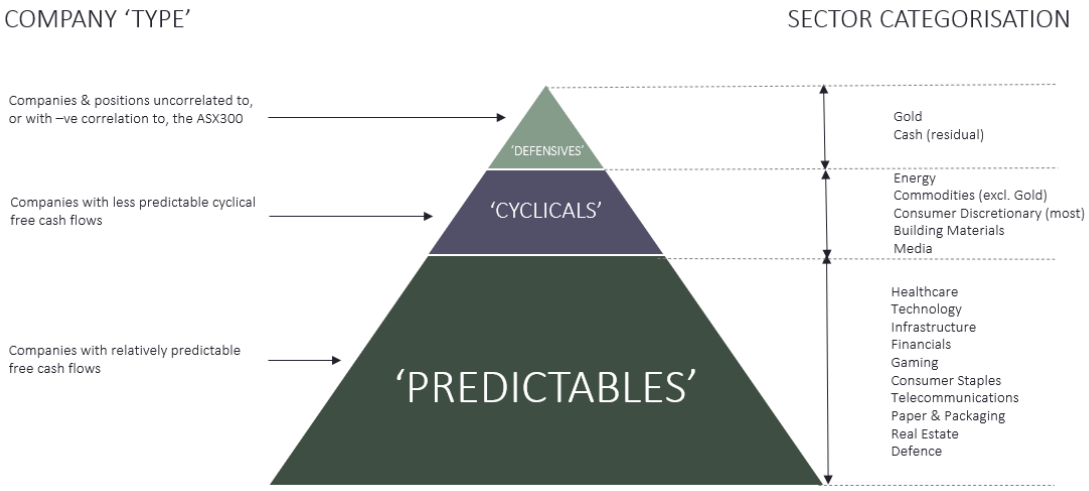
PORTFOLIO CONSTRUCTION

- A rigorous and disciplined fundamental stock selection process is overlaid with macroeconomic insights and company life-cycle and sector diversification to create a portfolio of approximately 30 (a minimum of 25 and a maximum of 40) stocks.

- A stock's inclusion in the portfolio is driven by the following portfolio construction framework (which in turn ties to our investment philosophies and beliefs outlined in section 13.2).

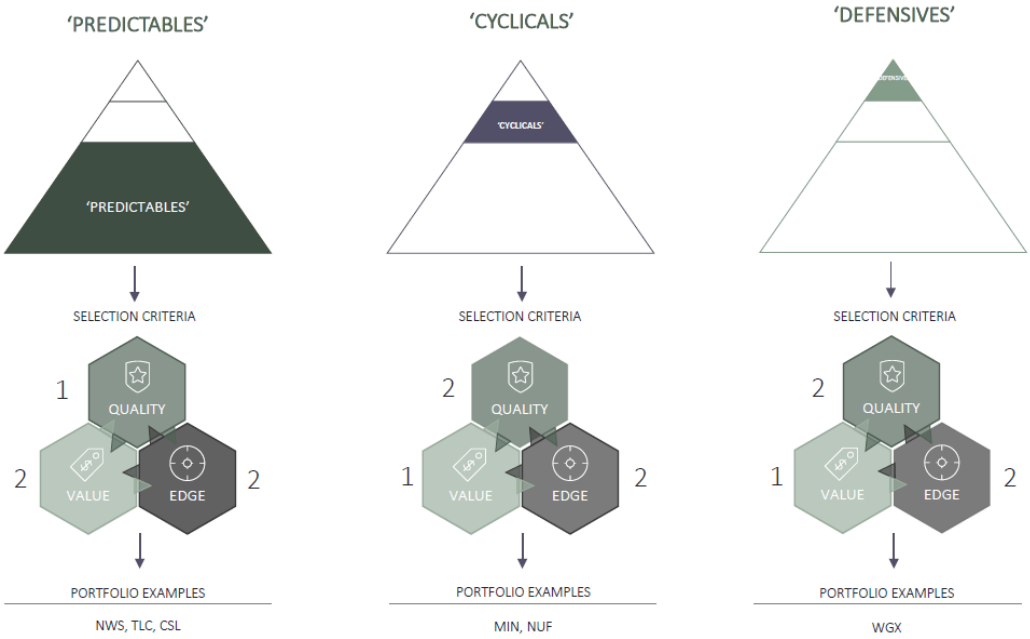


The importance of the above three 'signals' in determining what will drive a given company's share price varies depending on its assessed 'type' (based on the predictability and cyclicality of its free cash flows). We express our company 'types' as follows:



Our experience has taught us that the importance we place on our three 'signals' ('QUALITY', 'VALUE', 'EDGE') in determining whether a stock should be included in the portfolio should **not** be equal. Rather, it depends on the company's assessed 'type' ('PREDICTABLE', 'CYCLICAL', or 'DEFENSIVE'). Stocks are therefore included in the portfolio on the following basis. Please note

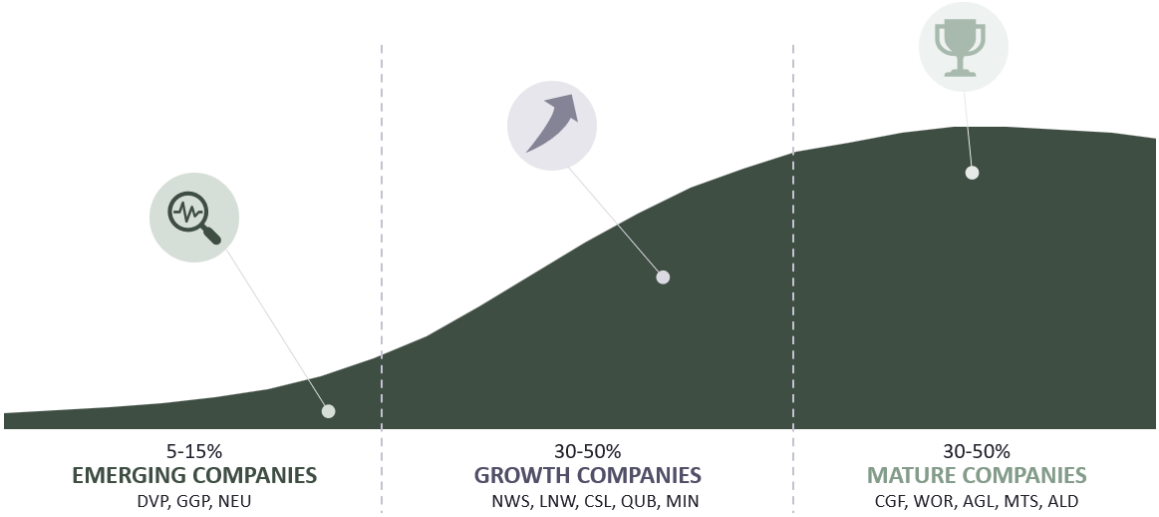
the differing ratings (1 or 2) placed on each factor by company 'type':



From the short list of eligible portfolio stocks the portfolio is created / adjusted to the following parameters and ranges:

- Company type
- Company lifecycle stage

We define company lifecycle stages as follows:



Finally, specific stock weights are determined as follows:

Watch List		
High Conviction Portfolio *25 - 40 Stocks*		
	Australian Equities	Cash
% of Portfolio	>80%	0 - 20%
Portfolio weights*	0 - 8%	N/A

Portfolio Weights %		Quality and Risk Assessment, Insight Level		
		Positive	Neutral	Negative
Valuation/ Returns	Positive	10% - 6%	6% -2%	2% - 0%
	Neutral	6% - 2%	4% -2%	2% -0%
	Negative	2% - 0%	2% -0%	0%

13.8 Describe any enhancements that have been made to your process over the last year.

The Chester High Conviction Fund has maintained a consistent investment process over the last year.

13.9 Indicate the relative importance of the following sources of investment insights to your process using a 5 point scale (1 = very important, 2 = important, 3 = neutral, 4 = minor consideration, 5 = unimportant):

Source of Investment Insight	Relative Importance to Process
Broker Research	3
Economic Analysis (top-down)	2
Internal Fundamental Bottom-Up Stock Research (i.e. not externally sourced)	1
Behavioural Finance Analysis	3
Technical Analysis	4
Others (please specify) ○ Management meetings/company or mine visits ○ Proprietary fundamental analysis	 1 1

Interpretation is critical. The sources of information whether externally or internally derived are numerous but it is the interpretation of these by the portfolio manager regards as critical when arriving at a buy/sell decision.

Although we largely don't rely on broker research we use broker consensus numbers versus our own fundamental projections for a company's earnings as one of the key parts of

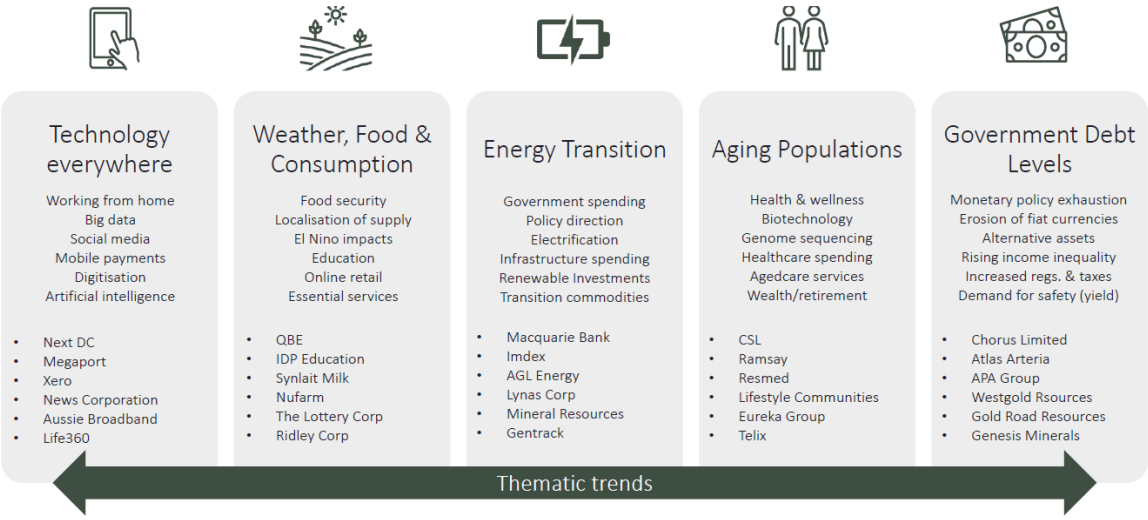
research when completing company analysis. We look to identify opportunities when our view differs materially from consensus

13.10 Describe, using a bullet point approach, your "research effort" (e.g. reliance on internal versus external research, company visits, type of analysis carried out and key criteria targeted in the research process).

The following information augments and expands on information contained within section 13.7 and 13.12. It should be read in conjunction with these sections.

- Chester's universe is a diversified portfolio of stocks primarily comprising listed companies in the S&P/ASX 300 Index (up to 100% of the Fund), plus a non-index position in stocks that are expected to list on the ASX within 12 months (between 0-10%) while cash allocation can be between 0-20%.
- Thematic Trends: Chester invests using long term trends. We have copied our framework for thinking about megatrends below. This assists in identifying sectors and stocks that have industry "tailwinds", which we define as above GDP growth forecasts.
- Ongoing Company Visitations: To develop insights
- Discussions with Industry Participants

Current trend framework:



- Once a thematic trend or sector is identified to research we focus on that theme / sector in a concentrated research effort

- We research the identified stocks in the sector utilising the following steps:
    - Review of recent announcements including latest presentations and annual reports of the company (including notes and remuneration reports)
    - Review of company website
    - Preparation of a detailed cash flow (DCF) model for the company utilising Chester proprietary templates (industrial and resource models)
    - Comparison using Chester templates, of our earnings projections to those of the market (earnings insights)
    - Where possible during this stage Chester meets with the company's management

- A valuation summary note is then prepared for each of these companies
    - As well as a summation of the DCF valuation a score is given out of 10 (0 being the lowest, 10 being the highest) for our view of positive earnings insights/ research edge
    - The quality of the business is also assessed with a score given out of 10 for our assessment of: financial/ balance sheet quality; business (industrial) or asset/s (resources) quality; and management quality

Neuren Pharmaceuticals

Key Drawcards & Insights

- **Self Funded Biotechnology Play:** NEU is somewhat unique in being a self funded biotechnology play
- **NNZ-2591 Upside:** There is enormous upside from successful trials of NNZ-2591 in Phelan McDermid, Pitt Hopkins, Angelman, HIE and a host of other indications
- **Global Expansion Tailwinds:** Daybue royalties continue to ramp from increased penetration in the US and overseas
- **Phase II Efficacy and Phase III trial designs:** The strong results from Phase II for Phelan-McDermid (PMS) and Pitt Hopkins (PTHS) and design of Phase III provides strong likelihood of success of NNZ-2591
- **Large TAMs:** Despite being orphan drugs NEU are playing in subsegments where the TAMS are potentially very large
- **Corporate Appeal:** The enormous upside of NNZ-2591 and the success of Daybue creates potential for Corporate activity with Acadia being an obvious buyer

Key Risks	Mitigant
- **Clinical and Pipeline:** Risk clinical trials fail to garner FDA approval (NNZ-2591 PHS, PMS, Angelman)	Diversified pipeline of opportunities and DAYBUE earnings help underwrite the share price
- **Partner Concentration:** NEU somewhat reliant on the actions of Acadia to drive Daybue value	Additional value upside from NNZ-2591
- **Regulatory:** Risks beyond just trial approvals from Orphan Drug status changes	Diversified portfolio and geographical spread
- **Competition:** Risk of competing products targeting Rett, Phelim McDermitt or Pitt Hopkins diseases	Limited mitigants other than incumbency and strong efficacy of NNZ-2591
- **IP:** Patents on Trofinetide / NNZ2591 extend to 2030s but face challenges	Innovation and R&D spend but product incumbency
- **Funding:** Despite a strong balance sheet funding three Phase III trials for NNZ-2591 carries funding risk	Royalty streams and strong balance sheet

Key Catalysts	Timing
- **CY2025 Results:** Focused on Daybue outside centres of excellence	Feb-26
- **CY2026 Results:** Further Daybue penetration outside centres of excellence	Aug-26 and Feb-27
- **PMS Trials:** Phase III PMS trials	Q2 2027
- **Other Trials:** Pitt Hopkins, Angelman, HIE, Prader Willie, etc	Ongoing

Key Metrics

Metric	Measure	2024A	2025E	2026E	2027E	2028A	2029E
Revenue	(AUDm)	217	65	143	193	254	363
EBITDA	(AUDm)	179	9	79	125	167	284
Underlying NPAT	(AUDm)	142	8	62	100	137	213
Capex inc acquisitions	(AUDm)	-4	1	1	1	1	1
Operating Cash Flow	(AUDm)	-11	146	41	86	121	184
Underlying EPS	(AUD)	1.11	0.06	0.49	0.78	1.07	1.67
P/E	(x)	16.3	284.5	37.1	23.2	16.9	10.9
CPS	(AUD)	-0.09	1.14	0.32	0.68	0.95	1.44
DPS	(AUD)	0.00	0.00	0.00	0.00	0.00	0.00
ROE	(%)	39.0%	2.2%	14.4%	18.7%	20.4%	24.1%
[Net Debt / (Cash)] / EBITDA	(x)	0.0	-16.4	-2.4	-2.2	-2.4	-2.0

- These notes are combined to form a dedicated sector/ theme research pack with a summary sheet

Healthcare Valuation Summary

Companies

Date: 22/01/2026

Company	Area	Model Link	Market Price	Modelled WACC	TGR Assumed	WACC-TGR	Ref NPV (1x)	Price Diff.	Shares (m)	Mkt Cap (AUDm)	Net Debt (AUD)	27 ND/ EBITDA	EV (AUDm)	EST 27 ROE	EST 27 Yld	Est 2026 PE	Est 2027 PE	Est 2028 PE	Est 2026 EV/EBITDA	Est 2027 EV/EBITDA	Est 2028 EV/EBITDA	Financial Quality	Business Quality	Mgmnt Quality	Insight Score
Australian Clinical Labs	Pathology	ACL	2.67	10.0%	3.0%	7.0%	5.25	97%	195.8	523	-21	-0.2	501	21.0%	3.0%	13.7	12.3	10.9	2.4	2.3	2.2	8	6	7	5
Botanix	Dermatology	BOT	0.13	11.0%	3.0%	8.0%	0.20	54%	1,970.1	256	43	-0.5	299	5.2%	0.0%	-9.3	87.5	9.5	-7.7	87.9	8.1	3	6	5	5
Cogstate	Clinical Testing	CGS	2.30	10.0%	3.0%	7.0%	4.45	93%	171.6	395	-30	-1.5	365	28.0%	2.3%	19.4	12.9	10.9	11.3	7.7	6.6	9	7	6	8
CSL	Biotechnology	CSL	178.4	8.5%	4.0%	4.5%	335.90	88%	484.0	86,350	12,063	0.9	98,414	17.0%	3.1%	16.6	14.0	12.5	11.6	10.2	9.3	7	8	8	5
EBOS Group	Healthcare Distribution	EBO	22.71	9.0%	3.0%	6.0%	29.30	29%	203.2	4,615	918	1.4	5,533	9.2%	4.1%	17.8	17.1	15.8	8.9	8.4	8.0	7	7	7	5
Integral Diagnostics	Radiology	IDX	2.64	9.5%	3.5%	6.0%	4.10	55%	372.2	983	260	1.3	1,243	8.5%	4.1%	19.6	15.8	13.6	7.1	6.5	6.1	7	7	6	5
Imricor	Medical Devices	IMR	2.02	12.5%	3.0%	9.5%	3.50	73%	320.9	648	-50	N/A	598	N/A	0.0%	N/A	N/A	N/A	N/A	N/A	N/A	7	9	7	5
Nanosonics	Medical Devices	NAN	3.97	9.0%	4.0%	5.0%	5.40	36%	303.3	1,204	-168	-4.1	1,036	12.5%	0%	66.8	38.4	28.6	35.7	22.4	16.9	10	8	7	7
Neuren	Biotechnology	NEU	18.13	10.0%	3.0%	7.0%	32.00	77%	127.8	2,317	-3	-2.2	2,314	18.7%	0%	284.5	37.1	23.2	257.5	29.1	18.6	8	7	7	5
Polynovo	Wound Care	PNV	1.12	10.0%	4.0%	6.0%	2.50	124%	690.8	770	-33	N/A	737	21.0%	0%	61.3	30.2	17.6	35.5	18.8	11.6	8	8	5	6
Ramsay Healthcare	Hospital & Health Services	RHC	37.19	9.0%	3.5%	5.5%	47.80	29%	230.8	8,583	4,794	1.9	13,377	7.0%	3.0%	25.3	20.2	18.3	5.8	5.4	5.2	5	7	6	5
Resmed	Medical Devices	RMD	38.44	8.5%	4.0%	4.5%	49.80	30%	1,474.0	56,661	-56	-1.3	56,605	23.0%	0.9%	24.1	21.5	19.8	19.2	17.3	15.9	9	8	7	6
Sigma	Pharmacy + Healthcare Distribution	SIG	3.02	9.0%	4.0%	5.0%	2.40	-21%	11,385	34,383	613	0.4	34,996	16.1%	1.6%	47.2	40.1	34.9	36.1	30.1	26.3	7	8	7	5
Telix Pharmaceuticals	Radiopharmaceuticals (Oncology)	TLX	10.92	10.0%	3.0%	7.0%	24.20	122%	331.2	3,617	-244	-0.3	3,373	4.7%	0.0%	-247.1	132.4	33.4	82.9	40.2	19.1	6	7	7	6

- The top stocks from within that theme/ sector are then identified for inclusion onto the watchlist
- The summary of this completed sector/ theme review is further included in the Chester Research Library

The top stocks from the research packs form the watchlist/ focus list for company visitation and further analysis

- We focus heavily on company visitation schedules and discussions with industry participants as a way of looking to identify strong conviction levels in the direction of future earnings, or if there are any changes to the industry dynamics a particular stock is exposed to. We aim to conduct around 500 company meetings or conference calls per year to continually update and monitor our best ideas.
- We review the announcements (including earnings) of watchlist stocks to identify any changes to our assessment of value, quality and insight

13.11 Define the authorised universe of investable securities for your flagship fund, and the sub-universe of securities that are actively researched.

The following information augments and expands on information contained within section 13.7. It should be read in conjunction with this section.

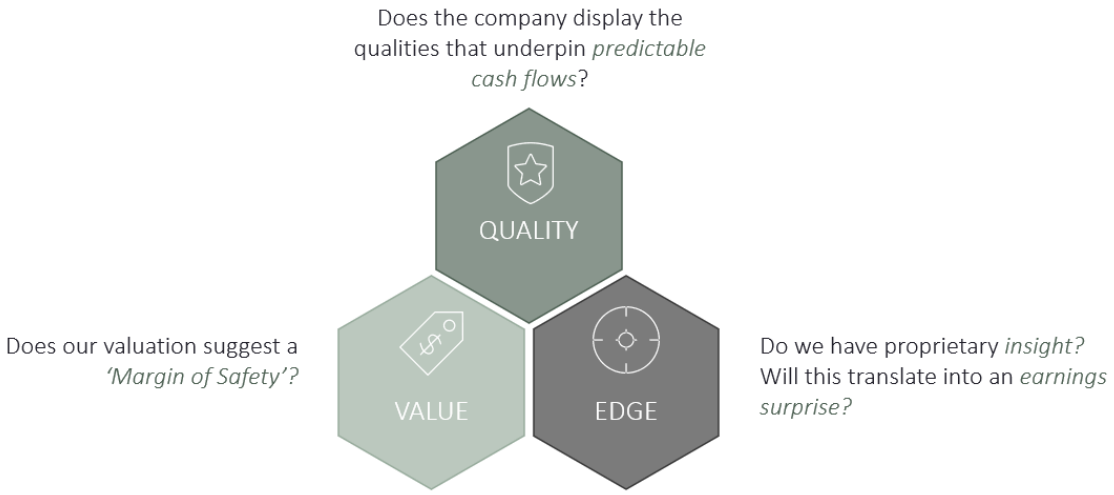
- The Chester High Conviction Fund will invest in a diversified portfolio of stocks comprising listed companies in the S&P/ASX 300 Index (up to 100% of the Fund), a non-index position in stocks (between 0-10%), while the fund's cash allocation can be between 0%-20%. It will hold between 25-40 stocks, with generally no more than 10% of the portfolio held in any one company, but no more than 8% at initial purchase. No more than 10% of the Fund will be invested in unlisted securities and only where the securities are subject to being listed within 12 months.

13.12 Briefly describe your stock selection process, with reference to filtering criteria, in-depth research and selection criteria.

The following information augments and expands on information contained within sections 13.7 and 13.10. It should be read in conjunction with these sections.

There are a number of stages to the stock selection process which starts with an initial screening of the investable universe. This is broadly represented by the S&P/ASX300 in the Australian market but may include other companies that meet liquidity or quality requirements.

The Chester High Conviction Fund research and stock selection process ultimately consists of three parts.



VALUATION:

Valuation analysis is quantitative – meaning we arrive at a specific valuation or target price for each stock. This target price is then applied to our watch list (approximately 70-80 stocks that have met our thematic and industry screening). This stage is important to ensure that we do not overpay for stocks which we have identified for purchase. Whilst this is important in order to apply a discipline, we do not see this as the end of the analysis.

Valuation analysis is predominantly driven by DCF tools, but also includes the standard financial metrics, PER, EV/EBITDA, and PEG ratios, are all used - where the valuation criteria differs by industry type, as the most appropriate metrics change according to the cash flow profile of different industries.

To illustrate this further the Valuation metrics used by sector are

Banks and Insurers – P/B ratios combined with ROE's and PE ratios

Resources including Energy stocks – NAV by project level, or DCF at the company level. EV/Resource and Reserve are also used, as are Asset Life and Cash costs by project, with sensitivity analysis around long term commodity price assumptions.

Mining Services – EV/EBITDA as a proxy for free cash flow and PER, DCF less relevant given the nature of short duration contracts.

Healthcare, Consumer, Infrastructure and Utilities – DCF's are most appropriate with longer duration cash flow profiles.

Domestic Cyclicals - PER generally used combined with DCF's where applicable. Sum of Parts is most appropriate for some Media stocks (FOX, NWS, SEK). NTA backing is used where a business has an asset intensive structure.

Growth stocks – a DCF with a fading revenue profile over 5 years, and a PEG ratio to ensure the growth expectations are being reasonably priced.

Generally a static multiple (1 yr fwd. earnings or EV/EBITDA) is combined with a DCF or NAV profile to give a valuation range that provides a set of rational expectations. Its then combined with debt coverage ratio's (interest coverage, Net Debt/EBITDA) and debt profile to assess any financial risk.

The Chester High Conviction Fund uses its own proprietary valuation screen for idea generation and considers various factors across, quality, valuation and sentiment screens. These include industry growth rate, sustainability of earnings, dividend growth rate, management quality, earnings revisions and relative value screens. These screens are more illustrative of the style of stock we are seeking, while also acting as a negative screen for stocks that wouldn't be considered for further work based on the above factors.

Free cash flow and sustainable dividend growth we believe are key criteria in assessing the long term ability of companies to outperform,

We deem relative valuation an important criteria when assessing companies within the same industry, ie Banks or Property stocks.

QUALITY:

At its core, the Chester High Conviction Funds (CHCF) assessment of quality involves fundamental analysis to assess the competitive advantages of a company in its operating industry. By understanding if and how a company can sustainably achieve returns above its cost of capital, we identify stocks that are most likely to outperform over a 5 year time horizon.

Industries or stocks that have a definable competitive advantage – ie Brand Equity, market share, distribution strength, technology patents or high barriers to entry tend to generate returns in excess of their cost of capital to show strong dividend growth

and strong cash flow conversion – have a proven track record in outperforming the market.

Many of these inputs are qualitative and as such, require certain skill sets, including experience, in order to make a reasonable determination of the long term potential of the company. Macro factors such as regulation changes and monetary or fiscal policy changes can alter the industry structure rapidly, and as such an understanding of political landscapes is also critical to this process.

Assessing the board and managements experience, motivations and ability to embrace the competitive landscape and manage the business risks (and ESG issues) is also important in assessing the quality of a company and its earnings and ultimately ability to generate returns above the cost of capital and generate long term shareholder value.

The CHCF quality assessment is a rigorous quantitative and qualitative process that focuses on three key areas**:**

i. **Earnings and Balance Sheet quality** seeks to assess confidence in the underlying earnings predictability, transparency and cash conversion including uses of accruals and revenue recognition

ii. **Business quality** assesses the growth in end markets in which the company operates and how the company is positioned to capitalise on the growth opportunity through assessing its source of competitive advantage with regard to industry positioning, pricing power and cost leadership

iii. **Management quality** assesses management experience and integrity including track record in allocating capital and strategic goals. It also looks at the organisational checks and balances including board structure and whether the remuneration structure and shareholders rights and controls are fit for purpose. Finally it considers risk management and engagement around environmental, social and governance (ESG) issues.

EDGE:

Through company engagement, industry contacts and third party research providers and other sources, we look to develop relationships and a research network that provides intelligence and insight into understanding the fundamentals and intangible relationships between the company, its share price and the market. This can include (but is not limited to):

- Capturing a “research edge” (insight). Defined as a high conviction view that consensus earnings expectations are wrong, thus the stock is “mis-priced” relative to our own high conviction view
- Expectations of earnings revisions, where the market factors in upswings or downturns prior to the reported earnings being delivered

- Behavioural factors, ie senior management changes or a change in strategic direction, and the confidence level in the future direction of the company
- Reputation of management team and their ability to communicate to the market
- Potential corporate activity
- Free Float/ level of institutional ownership
- Changes in index weight or inclusion

These factors often create short to medium term pricing anomalies, whereby prices and valuations become distorted, hence creating opportunities. This forms part of the process whereby the CHCF team endeavour to determine a suite of companies that at a reasonable price can offer the potential for long-term sustained superior performance.

Then follows a rigorous assessment of the idiosyncratic risks of each stock

- **Operational Risk** – need a thorough understanding of industry structure, including competitors size and strength. The sustainability of EBIT margins is important to assess the underlying volatility of corporate earnings, which is driven by operating leverage and pricing power.
- **Financial Risk** – Understanding Cash Flow requirements and debt profiling and future funding requirements. This is critical in understanding how equity capital is valued. Funds that performed well through 2008 showed a high awareness of financial risk.
- **Corporate Governance Risk** – A qualitative assessment of management personnel, remuneration structures, and board compositions. Includes ESG issues such as the environmental footprint, OH&S records, and staff turnover.

Once a stock has passed the watchlist stage, and we have completed an assessment on the Quality, Valuation and Edge (insights) into a particular stock, with the emphasis on the idiosyncratic risks outlined above, it then is considered for portfolio inclusion.

In summary, there are 3 reasons why we own stocks

- **Quality Assets** – superior returns over the long term, wealth creation leading to outperformance. Assets that are difficult to replicate. Quality is assessed by ranking the operating risk (predictability of earnings) with financial risk and corporate governance risk

- **Valuation** – market expectations low, under researched, laggard, undervalued. Valuation is quantitatively ranked by discount to its DCF valuation and assessed against its peer group on a relative basis

- **Edge (insight)** – insight is assessing whether we have a research edge or high conviction view that the market is mispricing the future earnings trend of a company

Broadly, we need at least two of these three factors to be present to buy a stock, and which of these factors we place greater emphasis upon is stock 'type' specific. Please refer to section 13.7 for further explanation of this point.

13.13 Describe your portfolio construction process covering: tools/techniques, buy/sell disciplines, number of stocks held, stock weightings relative to index, determination of large/medium/small cap exposure, sectoral bias, securities that are not in the index and the cash allocation decision.

The following information augments and expands on information contained within sections 13.7 and 13.12. It should be read in conjunction with this section.

- The portfolio may hold between 25 to 40 stocks.
- It is benchmark unaware with no targeted sector weightings.
- The portfolio will hold up to 100% in Australian Equities and up to 10% in non-index positions which includes pre IPO stocks that are expected to list on the ASX within a 12 month period.
- When a stock's weighting rises or falls 50 bpts relative to the model portfolio this triggers an alert to review the position, relative to the targeted weight. Under these circumstances the CHCF team may determine to continue monitoring the stock with a view to adjusting the target weight. An example of when this may occur would be around company news flow that justifies a change in weighting
- Target weights range for a large cap stock is 4% to 8% in 2% increments is the normal range and will be a function of our conviction level. A maximum of 10% may be held in a large cap but weighting range for each small cap stock is 2% or 4%, and will depend on the conviction level we have in the company and liquidity.
- Maximum weight for any single holding will not exceed 8% at initial purchase. Maximum weight is 10% in the portfolio consequent on share price movements; no further purchases are made after the stock represents 10% of the portfolio.

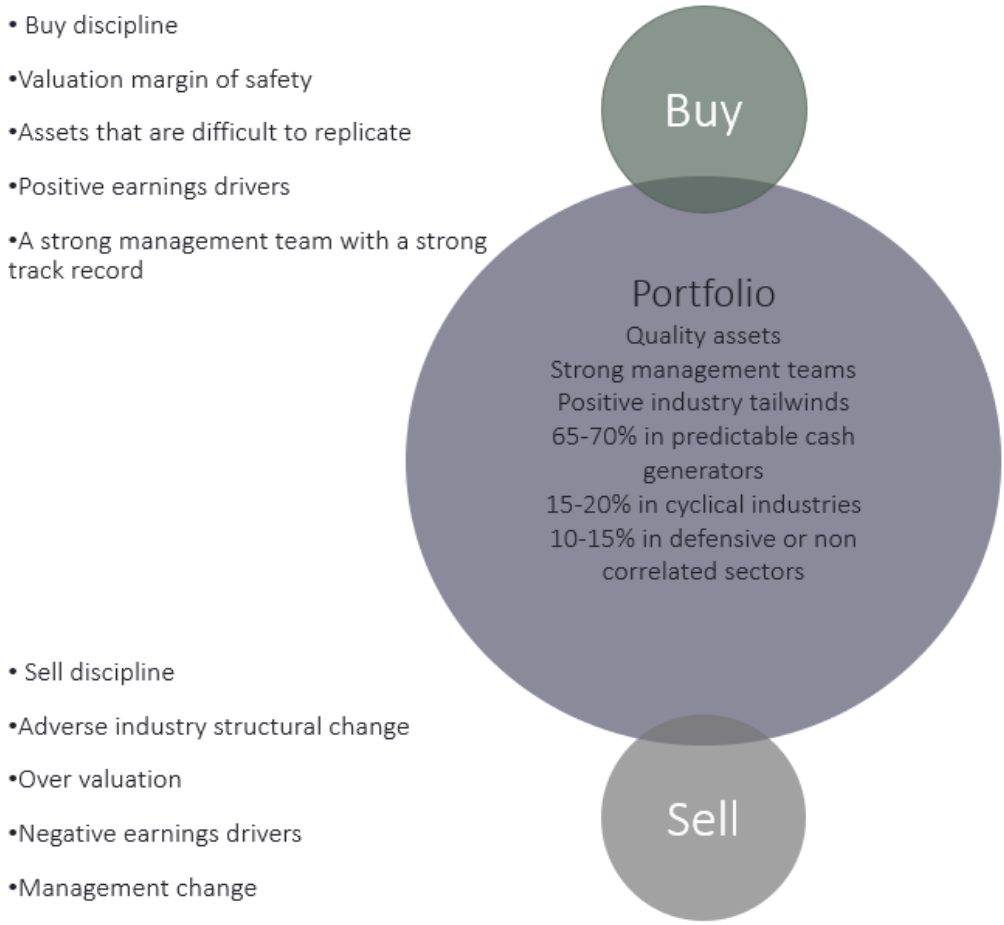
<u>Portfolio Construction Process</u>

Refer section 13.7, plus:

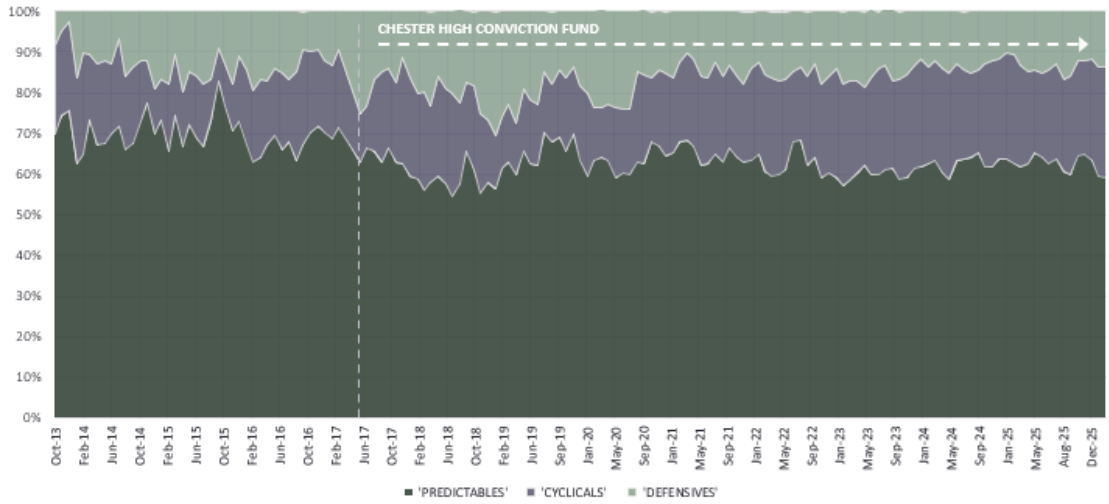
Buy/Sell discipline

- The diagram below illustrates our thinking with buy/sell decisions. Firstly we have to determine when entering a trade, why is this stock mispriced? Whether its because of the quality of the business or assets (difficult to replicate), we are taking a contrarian view because the valuation support suggests a high margin of safety, or we have a relatively high degree of conviction surrounding earnings expectations, we will buy/increase or holdings.

- The sell discipline stems from a structural change in the industry, or the valuation gap has closed, or on assessing news flow/data points, we no longer have the same degree of conviction on the stock. Trading positions are based predominantly on assessing the margin of safety in holding a stock and the risk reward trade off of holding that position. They are normally predicated on the assessment of valuation and insight (13.7) and whether we can see a reason why this will change on a 6 month view while requiring a margin of safety with the position.



Company 'type';



The above diagram highlights the portfolio construction framework for the CHCF portfolio.

'PREDICTABLES'

Ultimately, the bulk of the portfolio is held in stocks where we believe the underlying businesses have relatively predictable cash flows, thus display stronger quality characteristics. Traditionally, the sectors that offer this type of predictable cash flow growth are Healthcare, Paper & Packaging, Utilities, Consumer Staples, Technology, Infrastructure, Property and select Financials. This is where we aim to take a 3-5 year view on the company's cash generation.

'CYCLICALS'

For cyclical companies, which include Retail, Building Materials, Resources and Energy, given the cyclicality of earnings, by definition, these cash flows are less predictable and therefore a suitable investment is more focussed on the valuation and margin of safety. The portfolio weight and selection is therefore very dependent on the stock price relative to our assessed valuation of the company.

'DEFENSIVES'

Our defensives sleeve contains two sub sleeves:

a) Non correlated positions
b) Residual cash

Our overall approach to our 'Defensives' sleeve is outlined below:

The cash weighting falls out of stock selection and is not meant to be an asset allocation decision but is the opportunity cost of looking for the next appropriate investment decision. Cash is

effectively an option to buy something cheaper in the future.

Gold has long been held as a non correlated asset class and this holds up for all time periods, particularly in down markets or times of extreme volatility. The allocation to the defensive sleeve has been very consistent since inception of the strategy and has led the fund to have a lower beta than the market for the past 8 years.

The Chester High Conviction Fund may accumulate cash up to a maximum of 20% and will not reinvest proceeds of a sale unless it has an alternative investment. The Fund is not permitted to use derivatives.

13.14 How are trades allocated across portfolios? What processes are in place to ensure portfolios are consistently structured and excess cash is not held?

All of the Chester High Conviction Funds trading and portfolio allocation is performed using our proprietary models.

- All portfolios are automatically monitored against target portfolio weights to ensure consistency, subject to any specific portfolio constraints (eg; max/min cash). Our internal compliance monitoring alerts the CHCF as to any portfolio mandate breaches before the trade is executed.
- Trades are typically allocated on a pro-rata basis automatically across portfolios, including IPO's and secondary issues
- Internal portfolio valuations are maintained are reconciled daily against custodian records including cash balances to ensure that excess cash is not held in the portfolio.

13.15 Describe what steps you take to monitor and minimise transaction costs.

As 60-70% of the portfolio is invested for the long term, it is the intention keep turnover around 100-120% per annum, mindful this fund is completely benchmark unaware. We do tend to trade in 2% blocks (ie taking a position from 4% to 6% of the fund) so often 5 decisions for the month can result in portfolio turnover of 10-12% for a month. This can be split between new ideas and changes in conviction levels for existing stock positions. Commission rates remain under constant review but we endeavour to only pay brokerage for what we use and therefore incorporate execution only brokers into our commission pool.

13.16 In what way is the after-tax return for each stock considered prior to each transaction?

The CHCF team sees dividends as an integral part of total returns. An increasing income stream with as high a franking is regarded as important as well as being tax effective. Company dividend policy is one of our criteria when evaluating companies.

The portfolio may participate in share buy backs if deemed appropriate.

Timing of sales and general portfolio turnover are also a consideration when reducing weightings and where possible any rebalancing is done with cash flows in mind. We are

acutely aware of each stock positions absolute contribution (profit or loss) and take this into consideration when determining appropriate trades.

13.17 What do you see as the relevant investment risk characteristics of your portfolios?

Relevant investment risk characteristics of the CHCF are:

- Invests in a concentrated portfolio of equity stocks.
- High tracking error (average 5% to 10%) – Not restricted
- High stock specific risk associated with a concentrated portfolio.
- Investing up to 10% (Hard limit) of the fund in non index positions in stocks which may include stocks listed on foreign stock exchanges exposes the fund to currency risk (unhedged).
- The Fund does not invest in derivatives.
- The Fund will not be geared.
- Liquidity risk and credit risks also exist

13.18 Summarise in table format your risk management techniques (e.g. stock/sector limits, ex-ante tracking error, quality filters, constraints on derivatives, etc).

Investment Objective	To outperform the S&P/ASX300 Accumulation Index by 500bp (before fees) over a rolling 3 year time frame
Investment Guidelines	The fund will invest in a diversified portfolio of stocks comprising listed companies in the S&P/ASX300 Index (up to 100% of the fund). The fund has the ability to invest in non index positions (up to 10%) of the fund which includes only pre IPO companies incorporated in Australia, which are expected to list in the next 12 months on the ASX Cash allocation can be up to 20% The PDS has the following guidelines when slecting investments for the fund: ASX listed securities 25-40 stocks A hard limit of 10% in any one stock No more than 10% of the fund in unlisted securities, and only in securities that intend to list in the next 12 months The fund will not be geared
Benchmark	The fund's portfolio is constructed and managed without regard to any benchmark index weights, however for performance comparision purposes the S&P/ASX300 Accumulation Index is used
Expected tracking error	5-10%
Style bias	Tilt towards quality and growth but very much with an emphasis of valuation margin of safety

13.19 Please explain how you use derivatives. Who is responsible for managing and implementing derivative strategies?

The Fund does not invest in derivatives.

13.20 To what extent do you participate in transactions such as underwriting issues, etc. originated by another division of your firm?

Not applicable

13.21 Outline your soft-dollar policy.

- The Chester High Conviction Fund reserves the right to implement soft dollar transactions where it believes this will enhance efforts to improve performance; this will be done only after it has instituted appropriate soft dollar procedures.
- All clients with separate mandates have the right to prohibit soft dollar dealing by Chester Asset Management (CAM) or to direct CAM to deal in soft dollar for the client's benefit
- Where clients direct CAM (separate mandates) to deal in soft dollar commission on their behalf, CAM will do so.
- When soft dollar dealing on behalf of a client CAM must ensure that no other client is adversely affected - this may well mean that CAM will have to deal separately for that client to ensure this does not occur.
- Where CAM deals in soft dollars as directed by a client, CAM will still observe the principles of best practice dealing to the extent it reasonably can.

13.22 Describe your approach to corporate governance issues relating to the Australian shares portfolio:
Do you have a formal voting policy on stocks held in the portfolio?
Do you maintain a record of all voting on behalf of clients?
What is the process for identifying and acting on corporate governance issues?
What reporting do you provide to clients on your actions in the area of corporate governance?

- Corporate governance issues form part of the fundamental analysis undertaken as part of CAM's investment process. The Chester High Conviction Fund will vote on all issues deemed to be relevant.
- Copia Investment Partners, the Responsible Entity/Custodian, raises all corporate actions with the CHCF including voting which then allows us to vote where we deem it appropriate.
- A voting register is kept and is available for stakeholders to inspect on request.

Organisational Structure – Chester Asset Management:

Chester Asset Management (CAM) was established in April 2017 by Rob Tucker and Anthony Kavanagh

Rob, Anthony and Luke enjoyed a strong working relationship for 4 years at SG Hiscock, and prior to that for 3 years when Anthony Kavanagh was an external Energy consultant to SG Hiscock through his role at Core Energy Group.

CAM is 100% owned by its inaugural three employees. It remains extremely well-funded and is committed to further growth.

Tom and Luke have joined the business following a period of strong growth and enhance the team's research capabilities. They joined Chester following a comprehensive recruitment process and strong endorsement from industry contacts.

Where possible Chester outsources non-core activities and utilises specialist third party providers:

	PARTY
RESPONSIBLE ENTITY & TRUSTEE	Copia Investment Partners
CUSTODY & UNIT REGISTRY	Citi and BoardRoom
LEGAL	Tucker Partners
COMPLIANCE	Compliance & Risk Services Pty Limited
IT	Vorg Developments Pty Ltd IT For Business – Telecommunication services
FINANCIAL	Accountants – Vtanis Management Pty Ltd Auditor – Pitcher Partners

Fund: Chester High Conviction Fund

Rob Tucker, Portfolio Manager and Managing Director, Chester Asset Management - commenced April 1, 2017

Previous roles

- 7 years at SG Hiscock as a Portfolio Manager
- Portfolio Manager of the SGH Australia Plus Fund since inception (Oct, 2013) until Departure in Feb 2017.
- Co-Portfolio Manager of the SGH20 Fund (with Robert Hook as the lead PM) from April 2010 until February 2017.
- Investment Director with Halbis Capital Management based in Hong Kong (formerly HSBC Asset Management)
- Managed the Australian Country Funds which formed part of the Asia Pacific Mandates for Halbis from 2005-2010. These were concentrated funds with 25-30 stock portfolios.
- From 2005-2007 was the Head of Research for the Asia Pacific mandates within Halbis, where he focused on the metals and mining sector, within the research role.
- From 2008-2009 he also ran the HSBC Asian Freestyle Fund, a long only benchmark unaware fund searching for the best ideas across Asia Pac
- Prior to this he at HSBC Asset Management in Melbourne for 4 years, working in a 5 man equity team focusing on large cap Australian Equities. He had broad exposure analyzing various sectors across the universe, such as Transport, Media, Retail, Energy, Food & Beverage and Healthcare from 2001-2005.
- Prior to this Rob started his investment career at Merrill Lynch Equities after starting his working career as an accountant with Pitcher Partners.

Total Investment & Industry Experience
26 years

Qualifications
B.Com, Grad.Dip Applied Finance, CFA Charterholder

Anthony Kavanagh, Portfolio Manager, Chester Asset Management – commenced 1 April, 2017

Previous role

- Investment Analyst for SGH20 and SGH Australia Plus Funds where Anthony was responsible for a significant enhancement to the firms valuation framework and detailed analysis of individual companies. Anthony was responsible for the Energy, Materials, Gaming, Agriculture, Gold and Paper and Packaging sectors as well as being the primary dealer for the funds.
- Associate Director - Core Energy Group (4 years.) Responsibilities included: Industry and company analysis, preparation of financial models and research reports, project management and business development tasks.

Other experience

- Assistant Manager - KPMG (Audit Division) (2.5 Years)

Total Investment Experience
18 years

Qualifications
B.Com
Chartered Accountant
Grad.Dip Applied Finance
CFA Charterholder

Luke Howard, Portfolio Manager, Chester Asset Management – commenced 1 February 2018

Previous role

- 6+ years at SG Hiscock as an investment analyst
- Duties as an investment Analyst for the SGH20 and SGH Australia Plus funds included assuming primary company research coverage across the consumer, industrials, telecommunications, media and IT sectors. Additional research responsibilities included researching listed Asian companies in support of the SGH Australia Plus strategy that selectively invested across the region.
- Perennial Investment Partners - Operations (5 years) Role encompassed broad middle-office responsibilities in support of the various Perennial boutiques based in Sydney and Melbourne.

Total Investment Experience
20 years

Qualifications
B.Com, B.Arts
CFA Charterholder

Tom Beard, Investment Analyst, Chester Asset Management – commenced February 2024

Previous roles

- Taylor Collison – Equity Analyst (3 years), assuming primary research coverage of small and micro-cap industrials. Duties included fundamental company analysis and preparation of financial models.
- Modern Investor – Research Analyst (1 year), building interactive valuation models across a range of ASX listed small-caps and authoring research articles aimed at retail investors.

Total Investment Experience
5 years

Qualifications
B.Fin, B. Eco

Luke Dalgleish, Investment Analyst, Chester Asset Management – commenced March 2024

Previous roles

- J.P. Morgan - Equity Research Analyst (3.5 years) Duties included company and industry research coverage across the Telecommunications, Utilities & Energy sectors.
- Telstra - Commercial Analyst (3 years) Responsibilities included industry analysis, preparation of financial models and business case development.

Total Investment Experience
8 years

Qualifications
B.Bus
Certified Practising Accountant (CPA)

Appendix:

- Rob Tucker was the sole Portfolio Manager for the successful SGH Australia Plus strategy from inception in October 2013 to February 2017 when he departed SG Hiscock
- Performance during this time is presented below, all after fees*

Performance as at 28/2/2017	2013#	2014	2015	2016	2017^	Total Return	Inception % p.a.
SGH Australia Plus Net Return	5.68	19.38	22.05	10.73	3.25	76.05	18.16
S&P/ASX 300 Accumulation Index	4.75	5.30	2.80	11.79	1.34	28.53	7.62
Active Return	+0.93	+14.08	+19.25	-1.06	+1.91	+47.52	+10.54

Source: SGH Australia Plus Unit Price History, Bloomberg. #Inception date October 8th, 2013, so performance reflects 3 months. ^First 2 months of 2017.

*We note this is a statement of fact of the performance achieved by the fund during the time which Rob Tucker was the sole Portfolio Manager making active decisions on the Australia Plus Portfolio. We note performance is the record of the firm not of the individual however past performance has been constructed from publicly available unit price data. Past performance is not necessarily indicative of future performance and should not be relied upon in making investment decisions.